

more comfortable. These include money you spend on your hobbies and leisure activities, such as sports, music, books, and seeing movies.



Shopping list

If you are careful about your everyday spending and stick to your list of priorities, you can afford to treat yourself from time to time with things you want but don't need.

Making the cut

When you add up all these payments, you can compare the total expenditure with your income. If your spending is more than your income, to balance your budget you must cut the amount you are spending on some things, or find a way of increasing your income, for example, by working longer hours or getting a better paying job. It's usually easier to make cuts in your spending than it is to increase your income. Because you have a list of the things that you spend money on, you can put them in order of priority and decide where you could make cuts, spend less, to balance your budget. At the top of the list are the things that you can't do without, and the expenses that have to be paid. Spending on these can sometimes be reduced, for instance, by walking to work instead of taking the bus, or by being more careful about using electricity. But it's the things lower down the list that you could manage without, especially the treats you buy for yourself, such as the latest gadgets or trendy clothes.